

Geopolitical and macroeconomic factors have made investors jittery. And in January 2023, short-seller Hindenburg Research released a report accusing the group of market manipulation and accounting fraud. The Adani Group dismissed the allegations, but the group entities have taken a huge hit, as the findings of this year's BT500 study show. Stocks of most Adani group firms were trading at record levels around end-2022.

Interestingly, while the combined valuation of the Adani Group firms fell 11 per cent to ₹13.26 lakh crore, entities controlled by Mukesh Ambani, Chairman & MD of Reliance Industries, saw their combined market capitalisation drop a marginal 1.7 per cent to ₹16.87 lakh crore in the latest BT500 study.

Meanwhile, some market participants believe that the Adani Group is not out of the woods yet, though others are of the view that the worst could be behind them. However, it would not be smooth sailing as

getting investor confidence back would be a herculean task and require more than just prepaying loans, reducing debt, selling stakes to marquee investors, exiting non-core businesses (the group is looking to exit the FMCG segment) or expanding its global footprint.

The Adani Group declined to take part in this story.

BUILDING TRUST IS THE KEY

Market expert Ambareesh Baliga, who has seen many cycles in the market, believes denying the allegations would not allay investors' concerns. "They need to prove that there are no governance issues and, more importantly, that needs to be proven again and again. Only then will investors get confidence in the group," he says.

To be sure, the group has been engaging with investors and analysts at regular intervals and highlighting the 'confidence-building measures' its firms have undertak-

en in the past few months, say market watchers. For instance, through a series of stake sales, global biggies like GQG Partners, Qatar Investment Authority and Total Energies have come on board as investors; these three cumulatively have invested nearly ₹40,000 crore, repositing their faith in the group.

The management has also reiterated that Adani Group firms don't face any refinancing risk, even as the group has consistently diversified its long-term debt portfolio to reduce its exposure to domestic banks. As of September 30, bonds accounted for 35 per cent of its debt with the rest originating from global banks. At the end of FY23, the mix was bonds (39 per cent), global banks (29 per cent), and private banks and NBFCs (32 per cent).

"High leverage or high debt is a myth as our net debt to Ebitda ratio has improved from 7.6 around 10 years ago to 3.8 around two years ago, and is currently under 3. Anything under 3 is not considered

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AMBAREESH BALIGA
STOCK ADVISOR

REPORT CARD

➤ Adani Group entities have registered a significant jump in their income in FY23 ➤ Adani Enterprises has seen its profit jump over 3x

Company Name	Total Income (₹ crore)	PAT (₹ crore)	ROE (%)	TTM P/E Multiple
Adani Enterprises	1,38,175 (95.9)	2,209 (364.7)	8.1	103
Adani Green Energy	9,161 (64.3)	973 (99.0)	27.5	113.66
Adani Total Gas	4,415 (43.4)	546 (7.3)	20.4	102.81
Adani Energy Solutions	14,876 (18.6)	1,281 (3.6)	13.8	62.96
Adani Ports and Special Economic Zone	22,636 (16.9)	5,393 (8.9)	12.8	27.6
Adani Power	43,041 (35.8)	10,727 (118.4)	44.2	7.25
Ambuja Cements	39,675 (35.3)	3,024 (-18.5)	11.6	30.09
Adani Wilmar	58,446 (7.6)	554 (-28.5)	7.0	294.66
ACC	22,552 (37.8)	885 (-52.5)	6.2	28.88

NOTE DATA AS OF NOVEMBER 17, 2023; TOTAL INCOME, PAT AND ROE FOR FY23; P/E: PRICE TO EARNINGS; FIGURES IN BRACKETS INDICATE CHANGE IN PER CENT YOY; RESULTS ON A CONSOLIDATED BASIS **SOURCE** ACE EQUITY